HOMEBOYZ ENTERTAINMENT PLC ANNOUNCEMENT OF AUDITED RESULTS FOR THE YEAR ENDED DECEMBER 2023

www.homeboyz.co.ke

SUMMARY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2023

	2023 Kshs	2022 Kshs
Turnover	332,396,860	366,685,093
Direct Costs	(217,334,042)	(250,327,570)
Gross (Loss)/Profit	**115,062,818**	**116,357,523**
Expenses	`	
Administrative Costs	72,430,713	28,936,205
Other Operating Expenses	70,783,051	70,777,494
Governance Expenses	2,550,000	130,000
Net Operating Profit/Deficit	**(30,700,946)**	**16,513,824**
Other Gains/(Loss)	7,951,985	-
Finance Cost	7,606,802	1,218,136
Profit/(Loss) Before Tax	**(30,355,763)**	**15,295,688**
Tax Charge	-	4,588,706
Proft/(Loss) After Tax	**(30,355,763)**	**10,706,982**
Basic & Diluted Earnings Per Share	(0.48)	0.24

SUMMARY STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2023

	2023 Kshs	2022 Kshs
ASSETS		
Non-Current Assets	115,597,273	83,960,671
Current Assets	67,315,215	46,996,203
Total Assets	**182,912,491**	**130,956,874**
EQUITY & LIABILITIES		
Share Capital	31,600,000	31,600,000
Retained Earnings	(29,335,017)	(9,292,643)
Total Equity	**2,264,983**	**22,307,357**
Non-Current Liabilities	**6,571,505**	**7,880,899**
Current Liabilities	**174,076,003**	**100,768,617**
Total Equity & Liabilities	**182,912,491**	**130,956,874**

SUMMARY STATEMENT OF CASH FLOW FOR THE YEAR ENDED 31 DECEMBER 2023

	2023	2022
Operating profit/(loss) before working capital changes	(8,375,646)	29,286,419
Changes in working capital	45,828,786	23,719,987
Net Cash flow from Operating Activities	45,828,786	23,719,987
Net Cash Flow from Investing Activities	(43,875,603)	(30,876,474)
Net Cash Flow from Financing Activities	21,721,230	(2,941,794)
Changes in Cash and Cash Equivalents	**23,674,413**	**(10,098,280)**
Cash and Cash Equivalent at the Beginning	10,402,867	20,501,147
Cash and Cash Equivalent as at Year End	**34,077,274**	**10,402,867**

SUMMARY STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2023

	Share Capital Kshs	Retained Earnings Kshs	Total Kshs
As at 1.01.2022	31,600,000	(19,999,624)	11,600,376
Addition/ (Reduction) of Shares			
Net Surplus/(Deficit) for the Year	-	10,706,982	10,706,982
As at 31.12.2022	**31,600,000**	**(9,292,642)**	**23,307,358**
As at 1.01.2023	31,600,000	(9,292,642)	22,307,358
Prior Year Adjustments		10,313,388	10,313,388
Net Surplus/(Deficit) for the Year		(30,355,763)	(30,355,763)
As at 31.12.2023	**31,600,000**	**(29,335,017)**	**2,264,983**

PERFORMANCE REVIEW

The harsh macro-economic conditions experienced in 2023 exposed the Company to a challenging business environment negatively impacting on its revenues and operating costs.

Despite posting a marginal decline in revenues of 9%, the high operating and administration costs due to the impacts of inflation, coupled with the high costs of borrowing and high working capital requirements resulting in a substantial increase in the Companies finance costs, significantly affected the performance of the Company.

DIVIDENDS

The Directors do not recommend a dividend payment for the year 2023.

MESSAGE FROM THE DIRECTORS

These are extracts from the financial statements of the Company which have been audited by Matengo & Associates and have received an unqualified opinion.

A full set of these financial statements will be availed at our registered office at Galana Plaza 8th Floor, Galana Road and online at www.homeboyz.co.ke for inspection after approval by shareholders at the Annual General Meeting.

The financial statements were approved and authorized for issue by the Board of Directors on 26th April 2024 and were signed on its behalf by:

Michael Rabar
Director

Rose Maina
Director